Customer Relationship Management

What is CRM?

CRM stands for customer relationship management; a comprehensive strategy used by businesses to cultivate and manage their relationships with both present and potential clients. It includes tactics, procedures, and technologies that support companies in establishing enduring relationships with their clients, raising customer satisfaction levels, and boosting revenue. CRM is a mindset focused on comprehending customer demands, behaviours, and preferences in order to provide better value.

Purpose of CRM:

- Monitor and organise customer communications via phone, email, social media, and in-person meetings.
- Keep track of all customer information, such as contact information, previous transactions, correspondence history, preferences, and problems.
- Enhance communication between the sales, marketing, and customer support divisions by seamlessly exchanging customer information.
- Personalise consumer interactions to foster increased loyalty and repeat business.

Significance of customer life cycle - customer acquisition, customer retention, customer development.

The **customer lifecycle** is a concept that illustrates the various stages a customer goes through in their relationship with a brand, from initial awareness to becoming a loyal advocate. It represents the journey of a customer as they interact with a company over time, encompassing all the touchpoints and experiences that shape their perception and behaviour. This lifecycle is not just a marketing framework, but a strategic approach that helps businesses build deeper, long-lasting relationships with their customers. At the core of the customer lifecycle are three essential stages: **customer acquisition**, **customer retention**, and **customer development**. Each of these plays a distinct and vital role in driving business growth and sustainability.

1. Customer Acquisition

Customer acquisition refers to the **strategic process through which a business attracts potential customers and converts them into actual buyers**. This is the starting point of the customer's journey and involves efforts aimed at building awareness, interest, and trust in the brand or product.

Significance:

- **Foundation of Growth**: Without new customers, a business cannot expand its market share or grow sustainably.

- **Brand Exposure**: Acquisition efforts introduce the brand to new audiences, increasing visibility and reach.

- **Sales Pipeline Fulfilment**: Fuels the top of the sales funnel with leads that can be nurtured into paying customers.
- **Competitive Edge**: Strong acquisition strategies help brands capture market space before competitors do.

2. Customer Retention

Customer retention is the **ability of a company to keep its existing customers engaged and encourage them to continue doing business over time**. It involves maintaining relationships through satisfaction, value delivery, and trust.

Significance:

- **Cost Efficiency**: Retaining customers is significantly cheaper than acquiring new ones.
- **Repeat Business**: Loyal customers are more likely to buy again, increasing the customer lifetime value.
- **Stability and Predictability**: A high retention rate provides steady revenue and makes forecasting more reliable.
- **Brand Loyalty**: Retained customers tend to develop emotional ties with the brand, often defending or recommending it.

3. Customer Development

Customer development is the **process of deepening the relationship with existing customers by increasing their engagement, spending, and loyalty**. It includes strategies like upselling, cross-selling, and creating personalized experiences.

Significance:

- **Increased Revenue**: Selling more to current customers is often easier and more profitable than finding new ones.
- **Customer Advocacy**: Engaged customers are more likely to refer others and speak positively about the brand.
- **Efficiency**: The cost of marketing to existing customers is lower, with a higher conversion rate.
- **Market Insight**: Long-term customers provide valuable feedback that can improve products and services.

What is Customer Life Time Value and what is it's general trend in the customer life cycle?

In essence, customer lifetime value (CLV) forecasts the net profit attributable to the complete future relationship with a client. It assists companies in determining a customer's worth throughout the long term, and not only during a transaction. In addition to the initial purchase, it considers all future purchases, the frequency of those transactions, and the duration of the customer's association with the brand. By calculating CLV, companies can make more informed decisions about how much to invest in acquiring and retaining customers.

Formula:

CLV = Average Purchase Value × Purchase Frequency × Customer Lifespan

General Trend of CLV in the Customer Lifecycle-

CLV increases progressively as a customer moves through the stages of the customer lifecycle:

1. During Customer Acquisition:

- Since the company is investing in marketing, promotions, and onboarding to bring in new customers, the CLV is now low or even negative. Most likely, the customer hasn't bought anything yet or has only made one purchase.
- It's a crucial stage of investment with the expectation that the client would keep using the brand.

2. During Customer Retention:

- When a consumer is happy and starts buying from you again, the CLV starts to increase.
- As consumers grow more accustomed to the brand, they might make more purchases, which would improve the company's earnings.
- Less marketing is needed to keep the consumer interested, which typically lowers the cost of customer service.

3. During Customer Development:

- CLV reaches its highest point at this stage
- The customer may start to purchase higher-value products, respond to cross-sell and upsell attempts, and even refer new customers.
- In addition, they are more likely to recommend the brand to others, which raises indirect value beyond their personal purchases.

What is Net Promoter Score?

The Net Promoter Score (NPS) is a popular metric for measuring customer satisfaction and loyalty that measures how likely consumers are to refer a business, good, or service to others. It is based on the notion that consumers who are willing to advocate for the brand are priceless resources, and that their enthusiasm is a crucial sign of the health of your company. NPS is calculated by asking customers a simple question, typically on a scale of 0 to 10. Based on their responses, customers are grouped into three categories: **Promoters (9–10)**, **Passives (7–8), Detractors (0–6).**

Formula:

NPS = % of Promoters – % of Detractors

What research questions can be asked to find NPS?

To effectively measure Net Promoter Score (NPS) and understand the customer sentiment behind it, a combination of core, follow-up, and customer experience touchpoint research questions can be asked. These questions help to not only calculate the score but also gather insights to improve customer experience.

1. Core NPS Question (Quantitative):

This is the fundamental question used to calculate NPS:

- "On a scale of 0 to 10, how likely are you to recommend [our company/product/service] to a friend or colleague?"

2. Open-Ended Follow-Up Questions (Qualitative)

These are crucial for understanding the reasons behind the rating:

- "What is the primary reason for your score?"
- "What do you like most about our product/service?"
- "What could we improve to serve you better?"

3. Customer Experience Touchpoint Questions

These helps correlate NPS with specific interactions:

- “How satisfied were you with our support team?”
- “Was it easy to find the information you needed on our website?”
- “How would you rate your most recent purchase experience?”

Who are promoters, detractors and passives?

In the Net Promoter Score (NPS) framework, customer feedback is divided into three categories: Promoters, Passives, and Detractors. These groups are determined on the basis of the way consumers answer the NPS question.

1. Detractors (Score: 0–6):

Detractors are unhappy or dissatisfied customers who are not likely to recommend your brand. They may have had a poor experience, feel the product didn’t meet their expectations, or encountered issues that weren’t resolved effectively. They are important because:

- There is a significant chance that they will churn, or leave the brand.
- They may harm reputation of brand by negative word of mouth or online reviews.
- They highlight problems or shortcomings in the customer journey.
- If appropriately followed up on, they offer valuable feedback for improvement.

2. Passives (Score: 7–8):

Passives are satisfied but unenthusiastic clients. Although they are happy with the brand's offerings, they are not loyal enough to actively suggest it to others. If a competitor offers a better deal or experience, they may switch. They are neutral in the NPS score (not counted in the calculation). They are important because:

- They provide a chance to advance into promoters by enhancing value delivery and engagement.
- They help in pinpointing areas that require improvement in order to transform moderate satisfaction into strong loyalty.

3. Promoters (Score: 9–10):

Promoters are the most loyal and passionate clients of a brand. They love the brand and are eager to recommend it to others and spread positive word about it. These are the brand advocates that help it grow through referrals and positive influence. They are important because:

- They drive organic growth through word-of-mouth marketing.
- They tend to have a higher lifetime value (more purchases, long-term engagement).
- They contribute to a positive brand image and trust in the market.
- They can act as early adopters and evangelists for new offerings.

Competitor analysis in terms of subscription promotional offers to explore customer life cycle.

1. General News-

Outlook India

Subscription Plans:

Digital Only:

- 1 Year: ₹3600
- 2 Years: ₹7200

Print + Digital:

- 1 Year: ₹7200
- 2 Years: ₹14400

Print Only:

- 1 Year: ₹3600
- 2 Years: ₹7200

- 3 Years: ₹10800
- 3 Months: ₹900
- 6 Months: ₹1800

Promotions:

Special offers and discounts available based on minimum net spend criteria.

India Today

Subscription Plans:

Digital Only:

- 1 Year: ₹5200

Print + Digital:

- 1 Year: ₹5200
- 2 Years: ₹10400
- 6 Months: ₹2600

Promotions:

Exclusive rates for existing customers

Discounts available based on minimum net spend criteria.

Times of India

Subscription Plans:

- 1 Year: ₹2799
- 2 Year: ₹3899
- 3 Year: ₹4799

Promotions:

- Subscriber-exclusive events, and newsletters
- 50% off on all plans for students
- Offers on group subscription
- 40% off on all plans for Women

The Hindu

Subscription Plans:

- Readers’ Choice 1 Year: ₹2399

Promotions: Access to archives and international editions

2. Business News-

Outlook Business

Subscription Plans:

Digital Only:

- 1 Year: ₹1200
- 2 Years: ₹2400

Print + Digital:

- 1 Year: ₹2400
- 2 Years: ₹4800

Print Only:

- 1 Year: ₹1200
- 2 Year: ₹2400
- 3 Year: ₹3600

Promotions:

Discounts available on multi-year subscription and based on minimum net spend criteria

Business Today

Subscription Plans:

Digital Only:

- 1 Year: ₹2999

Print + Digital:

- 1 Year: ₹4129

Promotions:

Special renewal offers for existing subscriber.

Business Standard

Subscription Plans:

Digital Only:

- Monthly: ₹70.75
- Annual: ₹849 (₹70.75/month)

Promotions:

Bulk subscriptions available at ₹49/month

The Economic Times (ET Prime)

Subscription Plans:

Quarterly: ₹999

Yearly: ₹2499

Promotions: No specific promotional offer.

3. Travel Magazines

<u>Outlook Traveller</u>

Subscription Plans:

Digital Only:

- 1 Year: ₹900
- 2 Years: ₹1800

Print + Digital:

- 1 Year: ₹1800
- 2 Years: ₹3600

Print Only:

- 1 Year: ₹900
- 2 Year: ₹1800
- 3 Year: ₹2700

Promotions:

Special offers based on minimum net spend criteria.

<u>Conde Nast Traveller India</u>

Subscription Plans:

Digital Only:

- CNT Digital 1 Year: ₹900
- Vogue + GQ + CNT + AD - Digital 1 Year: ₹3299

Print Only:

- CNT Print 1 Year: ₹999
- Vogue + GQ + CNT + AD - Print 1 Year: ₹2999
- CNT + AD Print 1 Year: ₹2250
- Vogue + CNT Print 1 Year: ₹1800

Promotions:

Yearly offers and combo deals with other magazines like Vogue, GQ, and AD

<u>Lonely Planet India</u>

Subscription Plans:

- India Travel Guide: ₹2500
- South India & Kerala: ₹2200
- Rajasthan, Delhi & Agra: ₹2200
- South India & Kerala - Book + eBook: ₹2200

Promotions:

- Buy 1 Get 1 50% off
- Free shipping

NatGeo Traveller India

Subscription Plans:

- Annual digital: ₹1999

Promotions:

- Access to past issues and the most recent three issues free upon app subscription.

4. Personal Finance

Outlook Money

Subscription Plans:

Digital Only:

- 1 Year: ₹960
- 2 Year: ₹1920

Print + Digital:

- 1 Year: ₹1920
- 2 Year: ₹3840

Print Only:

- 1 Year: ₹960
- 2 Year: ₹1920
- 3 Year: ₹2880

Promotions:

Access to PDF version of the magazine within 10-12 days.

Moneycontrol

Subscription Plans:

Pro:

- 3 Months: ₹199
- 1 Year: ₹499
- 3 Years: ₹999

Super Pro:

- 1 Month: ₹499
- 1 Year: ₹2499

Promotions:

- Free Eazydiner Prime Membership worth ₹1049 for 3 months.
- Flat 10% off up to ₹1000 on ixigo flights (No minimum booking amount).
- ₹100 Amazon Shopping Voucher on PRO Subscriptions (select coupon codes only).

Mint

Subscription Plans:

- 1 Year: ₹2949
- 2 Year: ₹3999

Promotions:

- Access to Wall Street Journal content.
- Promotional coupons for discounts.

Financial Express

Subscription Plans:

- Details not specified on the official website.

Promotions:

- Information not available.

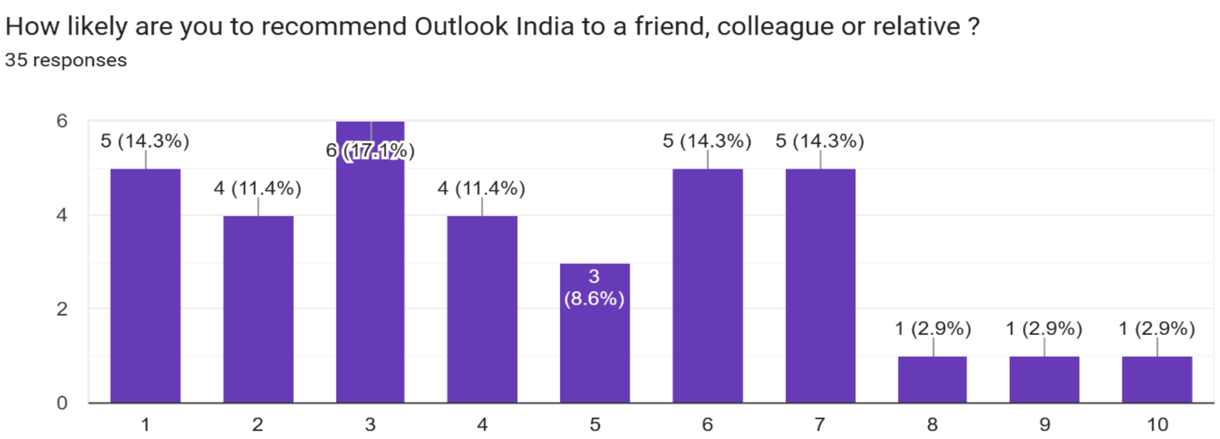
Preparation of a google form having the research questions to calculate NPS.

https://docs.google.com/forms/d/e/1FAIpQLSc-M4sctfUPOFyW7tKOWs5KE-OmmNHbE3jRUbR75u9i1rlw1A/viewform

Part-3

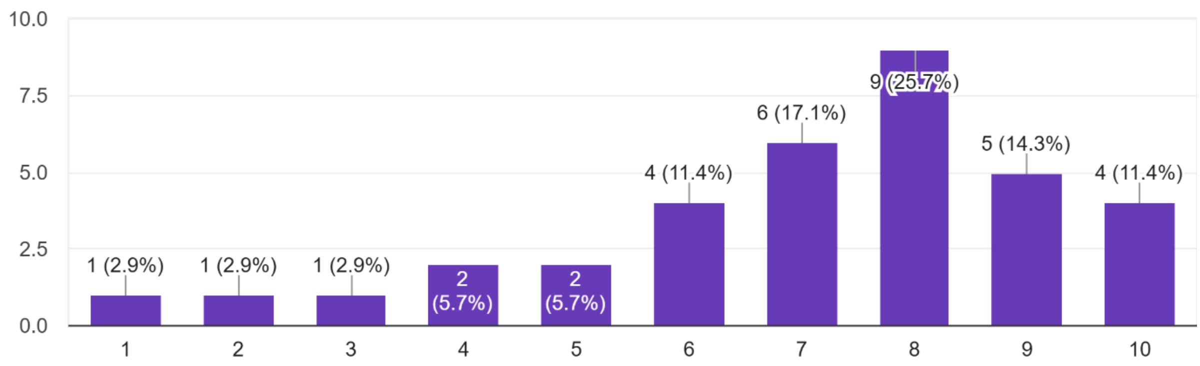
Collection of responses

1. Outlook India



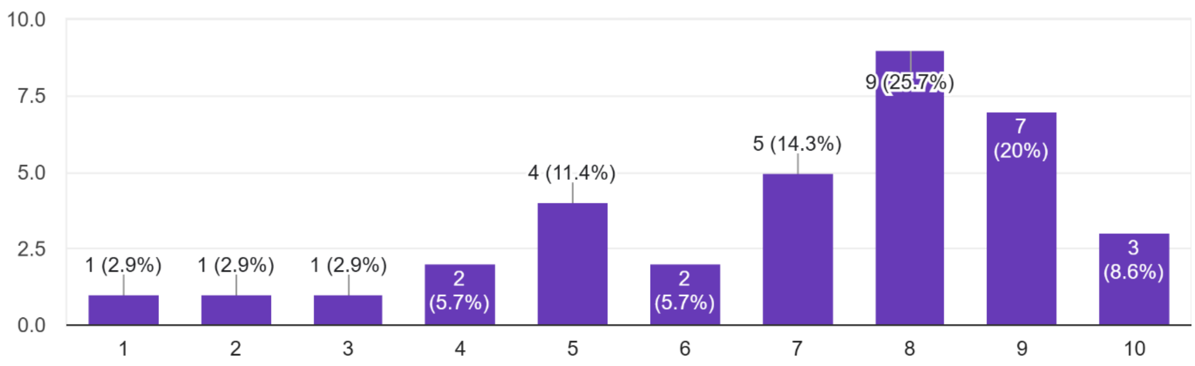
2. The Hindu

How likely are you to recommend The Hindu to a friend, colleague or relative ?
35 responses



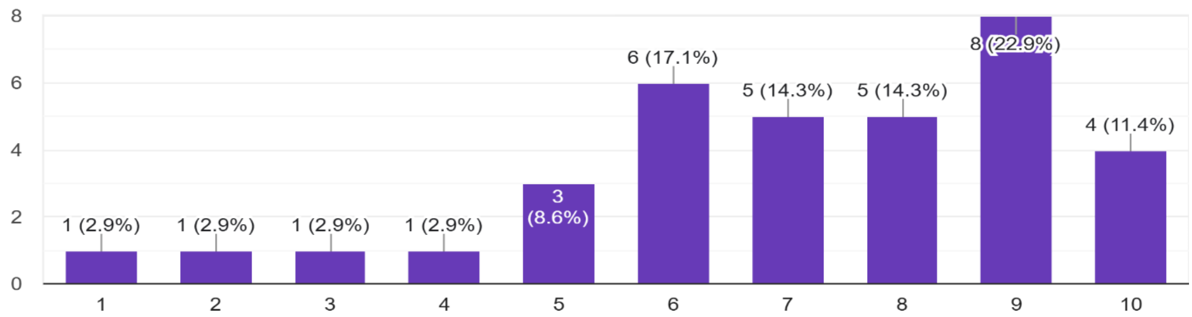
3. India Today

How likely are you to recommend India Today to a friend, colleague or relative ?
35 responses



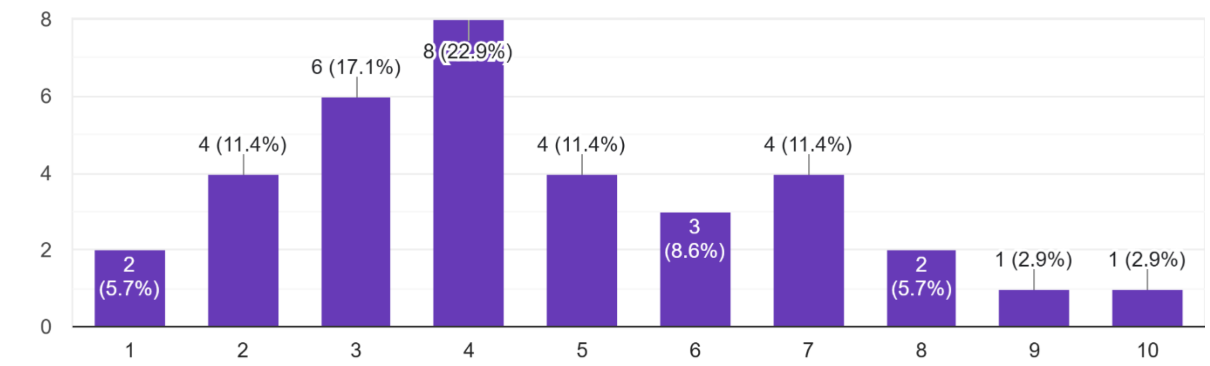
4. Times of India

How likely are you to recommend Times of India to a friend, colleague or relative ?
35 responses



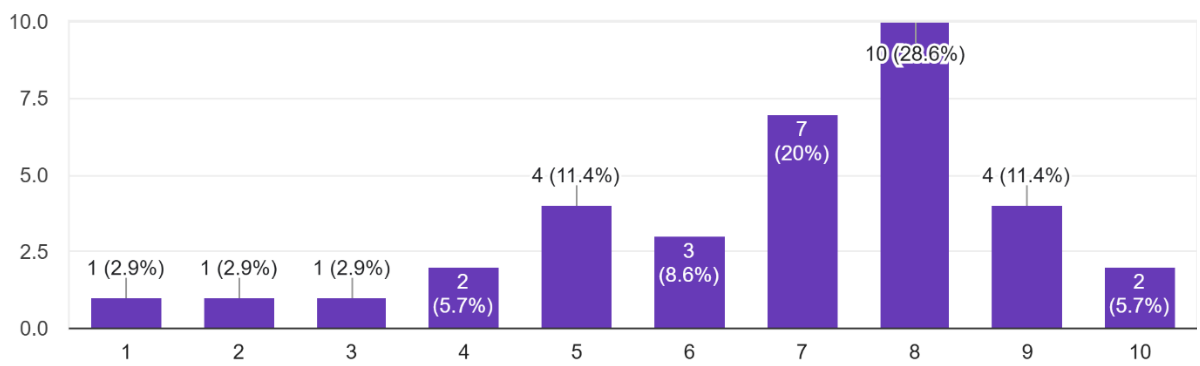
5. Outlook Business

How likely are you to recommend Outlook Business to a friend, colleague or relative ?
35 responses



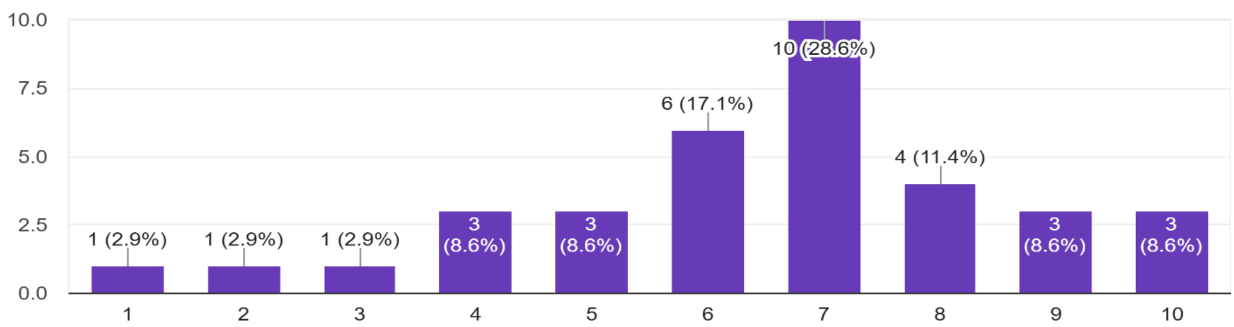
6. Business Today

How likely are you to recommend Business Today to a friend, colleague or relative ?
35 responses



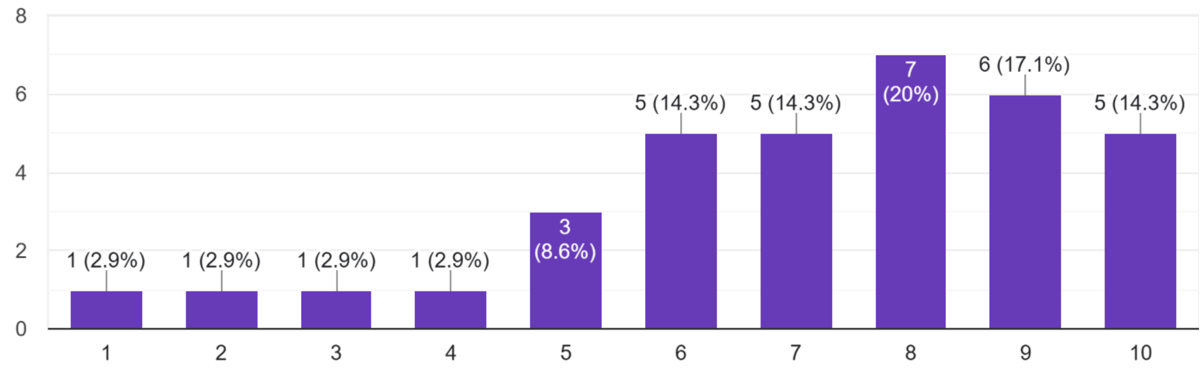
7. Business Standard

How likely are you to recommend Business Standard to a friend, colleague or relative ?
35 responses



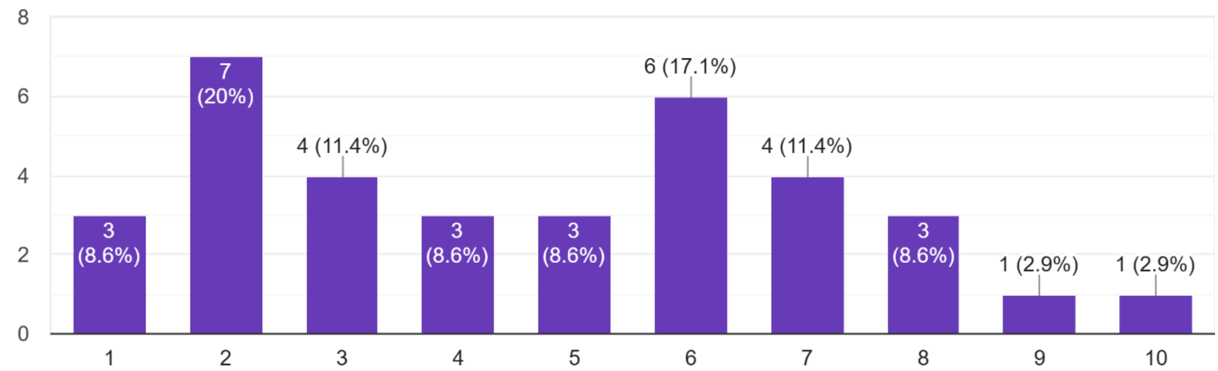
8. The Economic Times

How likely are you to recommend The Economic Times to a friend, colleague or relative ?
35 responses



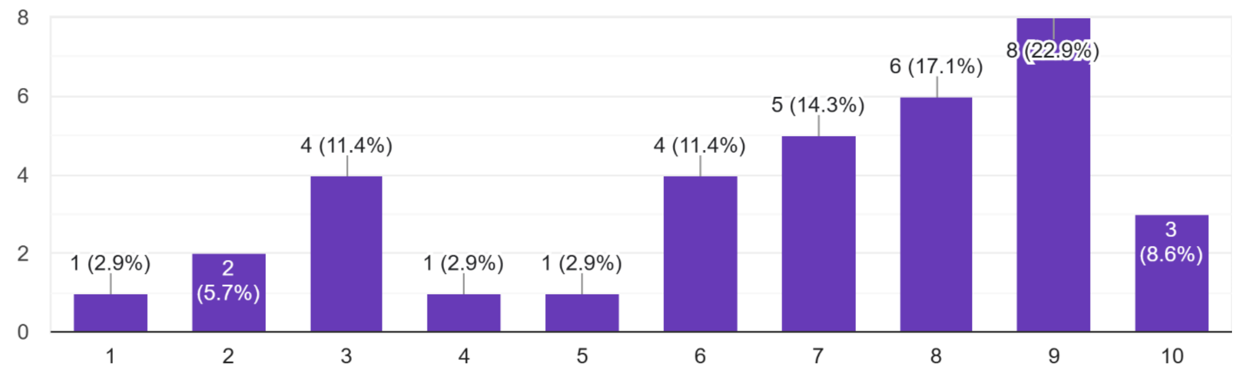
9. Outlook Traveller

How likely are you to recommend Outlook Traveller to a friend, colleague or relative ?
35 responses



10. Conde Nast Traveller India

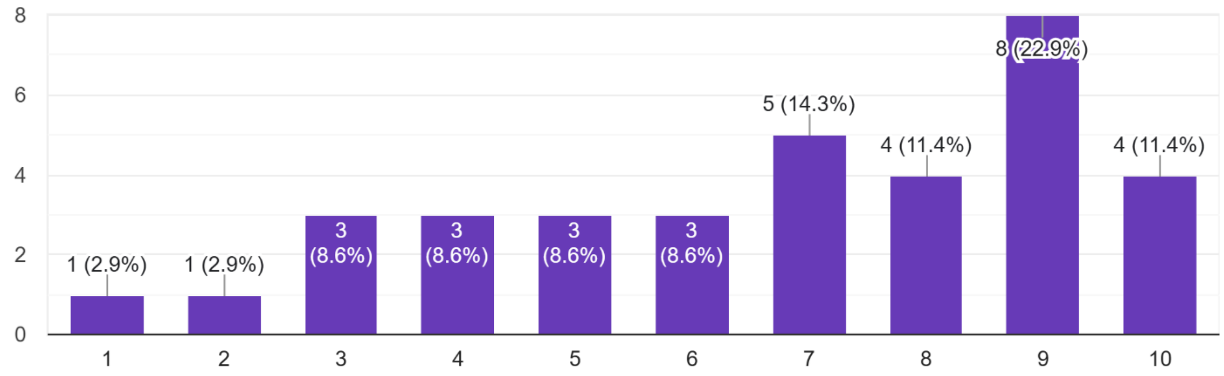
How likely are you to recommend Conde Nast Traveller India to a friend, colleague or relative ?
35 responses



11. Lonely Planet India

How likely are you to recommend Lonely Planet India to a friend, colleague or relative ?

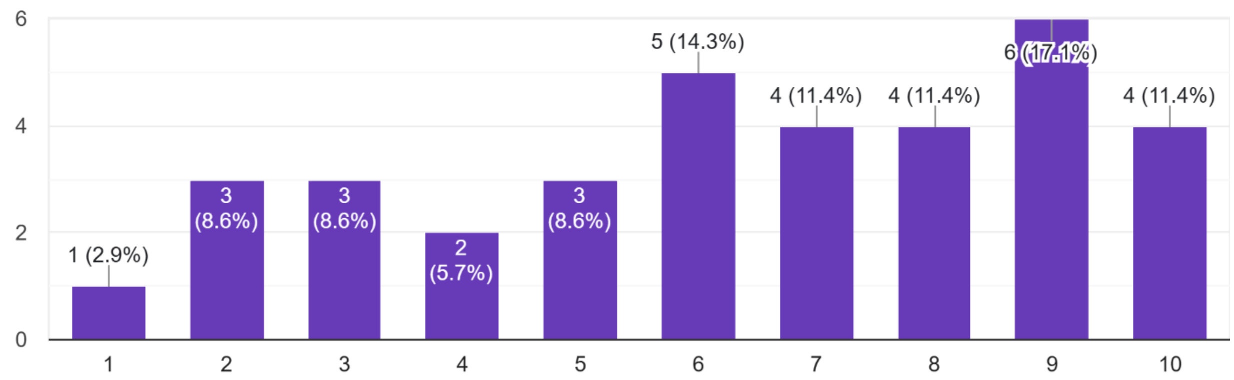
35 responses



12. NatGeo Traveller India

How likely are you to recommend NatGeo Traveller India to a friend, colleague or relative ?

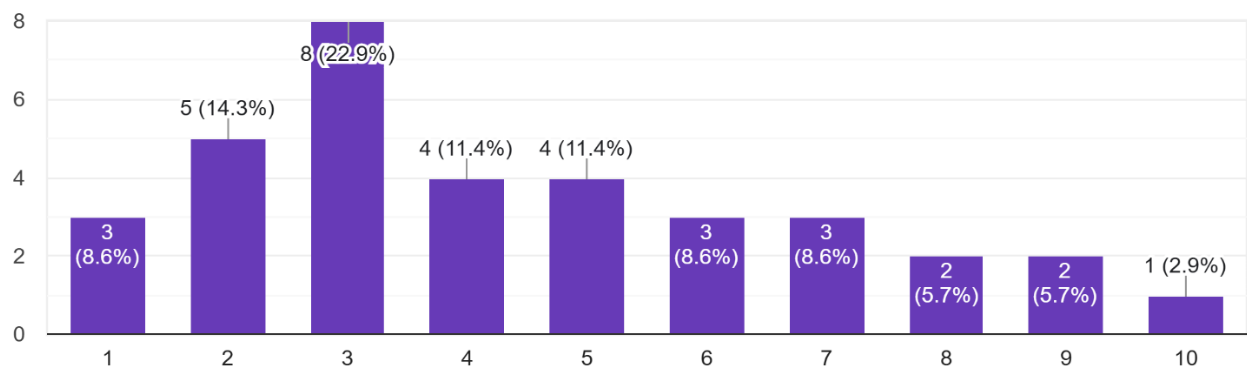
35 responses



13. Outlook Money

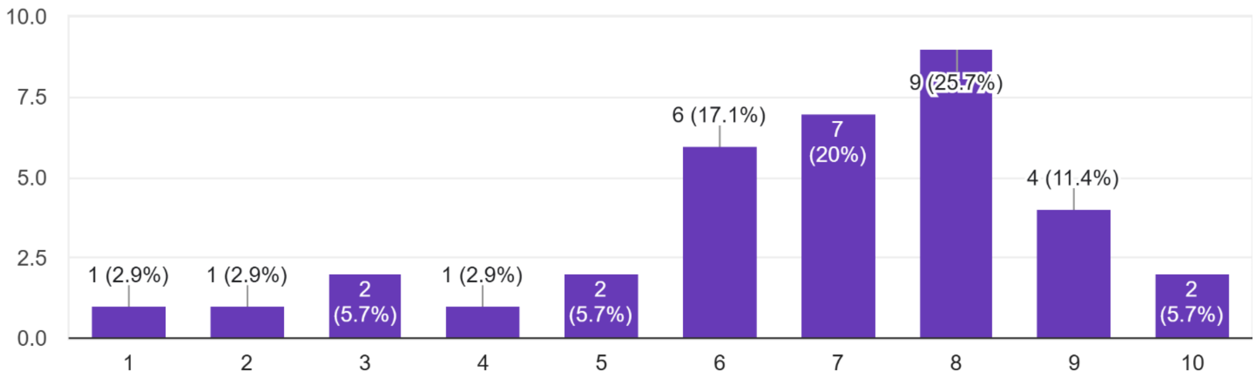
How likely are you to recommend Outlook Money to a friend, colleague or relative ?

35 responses



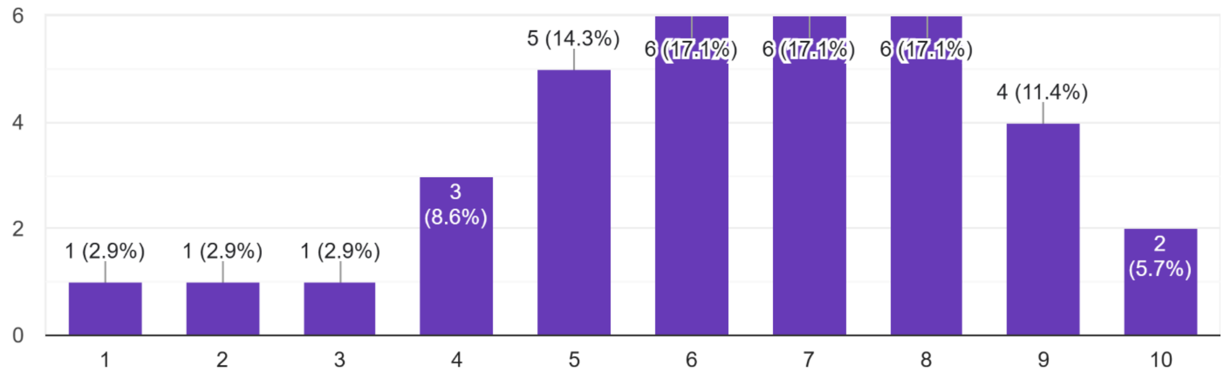
14. Moneycontrol

How likely are you to recommend Moneycontrol to a friend, colleague or relative ?
35 responses



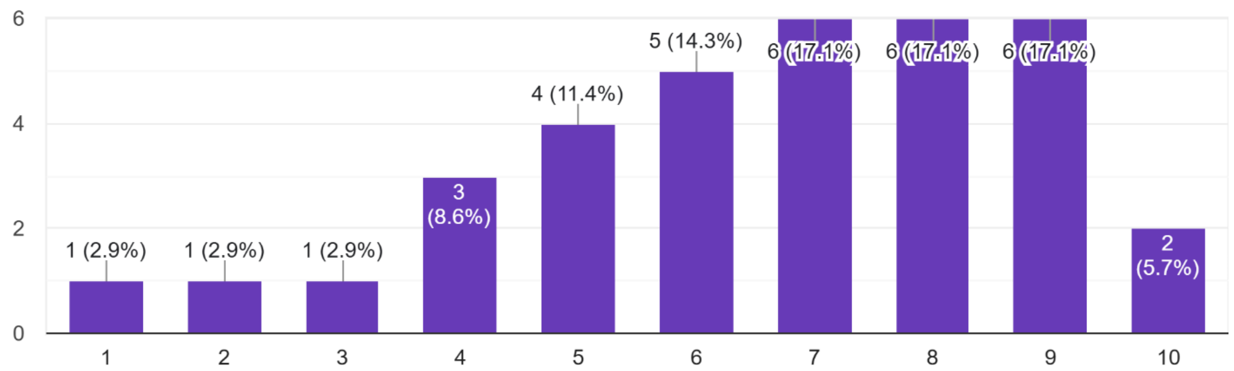
15. Mint

How likely are you to recommend Live Mint to a friend, colleague or relative ?
35 responses



16. Financial Express

How likely are you to recommend Financial Express to a friend, colleague or relative ?
35 responses



Part-4

Analyzing the responses and calculation of NPS

NPS Formula:

NPS = % Promoters – % Detractors

- Promoters: Gave a score of 9 or 10
- Passives: Gave a score of 7 or 8
- Detractors: Gave a score of 0 to 6

1. Outlook India

Total responses = 35

- **Promoters (9–10):**
    - 9 → 1
    - 10 → 1
      ⇒ Total = 2 (≈ 5.7%)
- **Passives (7–8):**
    - 7 → 5
    - 8 → 1
      ⇒ Total = 6 (≈ 17.1%)
- **Detractors (1–6):**
    - 1 → 5
    - 2 → 4
    - 3 → 6
    - 4 → 4
    - 5 → 3
    - 6 → 5
      ⇒ Total = 27 (≈ 77.1%)

NPS Calculation:

NPS = 5.7% − 77.1% = −71.4

2. The Hindu

Total responses = 35

- **Promoters (9–10):**
  - 9 → 5
  - 10 → 4
    Total = 9 (25.7%)
- **Passives (7–8):**
  - 7 → 6
  - 8 → 9
    Total = 15 (42.8%)
- **Detractors (1–6):**
  - 1 → 1
  - 2 → 1
  - 3 → 1
  - 4 → 2
  - 5 → 2
  - 6 → 4
    Total = 11 (31.5%)

NPS Calculation:

NPS = 25.7% − 31.5% = −5.8

3. India Today

Total responses = 35

- **Promoters (9–10):**
  - 9 → 7
  - 10 → 3
    Total = 10 (28.6%)
- **Passives (7–8):**
  - 7 → 5
  - 8 → 9
    Total = 14 (40%)

- **Detractors (1–6):**
    - 1 → 1
    - 2 → 1
    - 3 → 1
    - 4 → 2
    - 5 → 4
    - 6 → 2
      Total = 11 (31.4%)

NPS Calculation:

NPS = 28.6% − 31.4% = −2.8

4. Times of India

Total responses = 35

- **Promoters (9–10):**
    - 9 → 8
    - 10 → 4
      Total = 12 (34.3%)
- **Passives (7–8):**
    - 7 → 5
    - 8 → 5
      Total = 10 (28.6%)
- **Detractors (1–6):**
    - 1 → 1
    - 2 → 1
    - 3 → 1
    - 4 → 1
    - 5 → 3
    - 6 → 6
      Total = 13 (37.1%)

NPS Calculation:

NPS = 34.3% − 37.1% = −2.8

5. Outlook Business

Total responses = 35

- **Promoters (9–10):**
    - 9 → 1
    - 10 → 1
      Total = 2 (5.7%)
- **Passives (7–8):**
    - 7 → 4
    - 8 → 2
      Total = 6 (17.1%)
- **Detractors (1–6):**
    - 1 → 2
    - 2 → 4
    - 3 → 6
    - 4 → 8
    - 5 → 4
    - 6 → 3
      Total = 27 (77.2%)

NPS Calculation:

NPS = 5.7% − 77.2% = −71.5

6. Business Today

Total responses = 35

- **Promoters (9–10):**
    - 9 → 4
    - 10 → 2
      Total = 6 (17.1%)
- **Passives (7–8):**
    - 7 → 7
    - 8 → 10
      Total = 17 (48.6%)

- **Detractors (1–6):**
  - 1 → 1
  - 2 → 1
  - 3 → 1
  - 4 → 2
  - 5 → 4
  - 6 → 3
    Total = 12 (34.3%)

NPS Calculation:

NPS = 17.1% − 34.3% = −17.2

7. Business Standard

Total responses = 35

- **Promoters (9–10):**
  - 9 → 3
  - 10 → 3
    Total = 6 (17.1%)
- **Passives (7–8):**
  - 7 → 10
  - 8 → 4
    Total = 14 (40%)
- **Detractors (1–6):**
  - 1 → 1
  - 2 → 1
  - 3 → 1
  - 4 → 3
  - 5 → 3
  - 6 → 6
    Total = 15 (42.9%)

NPS Calculation:

NPS = 17.1% − 42.9% = −25.8

8. The Economic Times

Total responses = 35

- **Promoters (9–10)**
  - 9 → 6
  - 10 → 5
    Total Promoters = 11 (31.4%)
- **Passives (7–8)**
  - 7 → 5
  - 8 → 7
    Total Passives = 12 (34.3%)
- **Detractors (1–6)**
  - 1 → 1
  - 2 → 1
  - 3 → 1
  - 4 → 1
  - 5 → 3
  - 6 → 5
    Total Detractors = 12 (34.3%)

NPS Calculation:

NPS = 31.4% – 34.3% = –2.9

9. Outlook Traveller

Total responses = 35

- **Promoters (9–10):**
  - 9 → 1
  - 10 → 1
    Total = 2 (5.7%)
- **Passives (7–8):**
  - 7 → 4
  - 8 → 3
    Total = 7 (20%)

- **Detractors (1–6):**
    - 1 → 3
    - 2 → 7
    - 3 → 4
    - 4 → 3
    - 5 → 3
    - 6 → 6
      Total = 26 (74.3%)

NPS Calculation:

NPS = 5.7% – 74.3% = –68.6

10. Conde Nast Traveller India

Total responses = 35

- **Promoters (9–10):**
    - 9 → 8
    - 10 → 3
      Total = 11 (31.4%)
- **Passives (7–8):**
    - 7 → 5
    - 8 → 6
      Total = 11 (31.4%)
- **Detractors (1–6):**
    - 1 → 1
    - 2 → 2
    - 3 → 4
    - 4 → 1
    - 5 → 1
    - 6 → 4
      Total = 13 (37.1%)

NPS Calculation:

NPS = 31.4% – 37.1% = –5.7

11. Lonely Planet India

Total responses = 35

- **Promoters (9–10):**
    - 9 → 8
    - 10 → 4
      Total = 12 (34.3%)
- **Passives (7–8):**
    - 7 → 5
    - 8 → 4
      Total = 9 (25.7%)
- **Detractors (1–6):**
    - 1 → 1
    - 2 → 1
    - 3 → 3
    - 4 → 3
    - 5 → 3
    - 6 → 3
      Total = 14 (40.0%)

NPS Calculation:

NPS = 34.3% − 40.0% = –5.7

12. NatGeo Traveller

Total responses = 35

- **Promoters (9–10):**
    - 9 → 6
    - 10 → 4
      Total = 10 (28.6%)
- **Passives (7–8):**
    - 7 → 4
    - 8 → 4
      Total = 8 (22.9%)

- **Detractors (1–6):**
  - 1 → 1
  - 2 → 3
  - 3 → 3
  - 4 → 2
  - 5 → 3
  - 6 → 5
    Total = 17 (48.6%)

NPS Calculation:

NPS = 28.6% − 48.6% = −20.0

13. Outlook Money

Total responses = 35

- **Promoters (9–10):**
  - 9 → 2
  - 10 → 1
    Total = 3 (8.6%)
- **Passives (7–8):**
  - 7 → 3
  - 8 → 2
    Total = 5 (14.3%)
- **Detractors (1–6):**
  - 1 → 3
  - 2 → 5
  - 3 → 8
  - 4 → 4
  - 5 → 4
  - 6 → 3
    Total = 27 (77.1%)

NPS Calculation:

NPS = 8.6% − 77.1% = −68.5

14. Moneycontrol

Total responses = 35

- **Promoters (9–10):**
    - 9 → 4
    - 10 → 2
      Total = 6 (17.1%)
- **Passives (7–8):**
    - 7 → 7
    - 8 → 9
      Total = 16 (45.7%)
- **Detractors (1–6):**
    - 1 → 1
    - 2 → 1
    - 3 → 2
    - 4 → 1
    - 5 → 2
    - 6 → 6
      Total = 13 (37.1%)

NPS Calculation:

NPS = 17.1% − 37.1% = −20.0

15. Mint

Total responses = 35

- **Promoters (9–10):**
    - 9 → 4
    - 10 → 2
      Total = 6 (17.1%)
- **Passives (7–8):**
    - 7 → 6
    - 8 → 6
      Total = 12 (34.3%)

- **Detractors (1–6):**
  - 1 → 1
  - 2 → 1
  - 3 → 1
  - 4 → 3
  - 5 → 5
  - 6 → 6
    Total = 17 (48.6%)

NPS Calculation:

NPS = 17.1% − 48.6% = −31.5

16. Financial Express

Total responses = 35

- **Promoters (9–10):**
  - 9 → 6
  - 10 → 2
    Total = 8 (22.9%)
- **Passives (7–8):**
  - 7 → 6
  - 8 → 6
    Total = 12 (34.3%)
- **Detractors (1–6):**
  - 1 → 1
  - 2 → 1
  - 3 → 1
  - 4 → 3
  - 5 → 4
  - 6 → 5
    Total = 15 (42.9%)

NPS Calculation:
NPS = 22.9% − 42.9% = −20.0